Bafin Federal Financial Supervisory Authority

CONSUMER PROTECTION

# The basics of investing

Before deciding on an investment, you need to understand the various forms of investment and their risks. Not every product is equally well suited to every individual. Learn what you should look out for in order to best meet your needs and goals.

## Get an overview of your own finances

Start by taking stock and assessing your financial situation. If you consult an investment advisor, the consultation will also include questions about your financial circumstances.

A key part of this is to make a list of both your assets and your liabilities:

- What is the value of your financial assets (e.g. balances on current accounts, call deposit accounts, fixed-term deposit accounts and savings accounts)?
- How much do you hold in securities assets?
- Do you have any other assets (e.g. property)?
- Do you have debts (e.g. loans or other forms of credit)? How much do they amount to?

You should also compare your regular income and expenses::

- What regular income do you receive (e.g. salary, state pension, private pension, rental income, income from investments)?

- What regular non-discretionary expenses do you have (e.g. rent or mortgage payments for owner-occupied property, ancillary costs for your house or flat, other loan payments, maintenance payments, insurance, food, clothing, transport and other living expenses)?

Once you have reviewed your assets and liabilities and compared your income and expenditure, you will know how much money you can invest.

## Set some reserves aside for emergencies

Even if you have a financial cushion, you should plan for unexpected expenses. This includes major car repairs or the replacement of defective household appliances. In these cases, you might need to act immediately and may not have enough time to liquidate your investments.

Emergency reserves (or a “rainy-day fund”) should enable you to cover most unexpected expenses immediately. As a rule of thumb, experts recommend that you keep financial reserves equating to three months of income.

Safe investments that can be accessed quickly, such as savings accounts and call deposit accounts, are suitable as emergency reserves. Even with financial products that can be cancelled immediately, it can take some time before the money is available. Units in investment funds and tradable shares are not suitable for emergency reserves. You should not put yourself in a situation where you might, for example, be compelled to sell shares at a low price.

## Pay off debts before investing money

### Good to know:

If your bank or securities trading firm has difficulty meeting its payment obligations, deposit guarantee schemes and investor compensation schemes will protect your account balances and amounts owed to you to a certain extent. This is also the case with life insurance companies and private health insurance companies.

Regular interest on current credits or loans often exceeds the return on an equivalent investment. You should therefore always consider repaying debts early rather than investing.

This applies in particular to overdrafts: if you overdraw on your current account, you will pay high interest rates. Make sure that your account has sufficient funds. The situation is similar for consumer loans that are used to purchase a car or a kitchen, for example. Although the interest charge is lower than for overdraft facilities, it is usually higher than the return on an equivalent investment. If you have a consumer loan, check the contract and ask your bank about the options for partial or full early repayment.

Are you paying off a property loan? Check whether your contract allows overpayments or variable repayment rates. Early repayment or increasing the repayment rate may prove more profitable than investing. The faster you repay, the lower the interest burden and your debt will be. Please be aware, however, that early repayment before the end of the fixed interest period may incur an early repayment penalty or fee. Check your contract and discuss the repayment options and costs with your bank.

## Set an investment objectiv

Would you like to save some of your wealth or income for retirement or for your children's education? Or are you planning a major purchase, such as a new car or a house?

When people invest money, they often strive for maximum return, minimum risk and rapid availability. No investments offer all three. You should therefore think carefully about your personal goals and needs before deciding on specific investment products.

Security, availability and return are commonly considered the three main investment objectives.

### Security

If you want to invest with a focus on security, this means your focus is primarily on preserving your assets and avoiding the risk of capital loss.

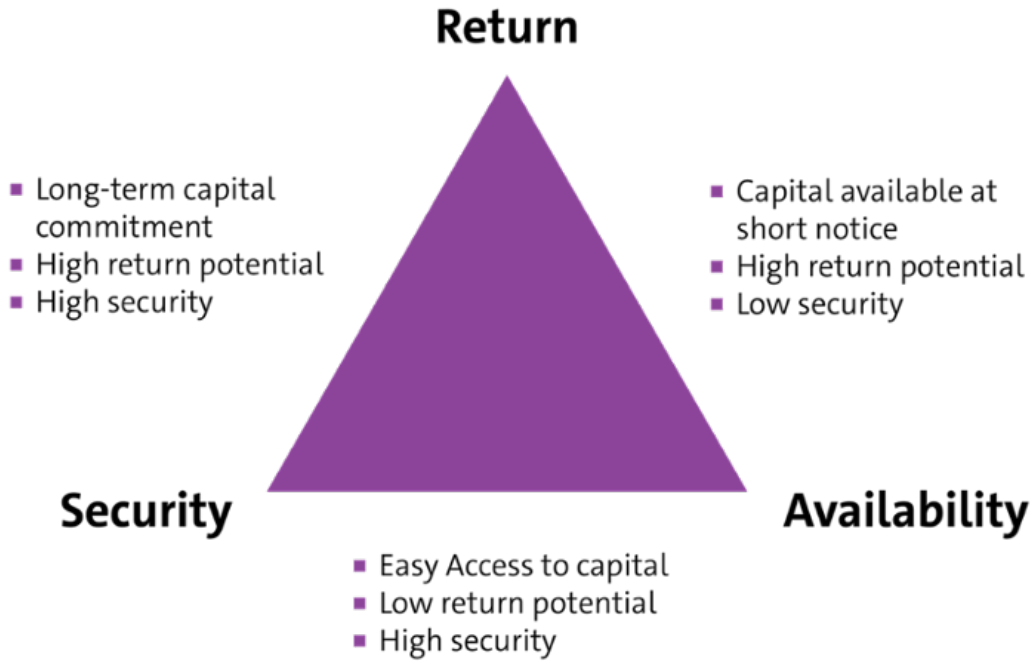
### Availability

Think about how long you can manage without your invested money. This is particularly important if you are choosing a long-term investment for a higher return. Keep in mind that you may need to access funds at short notice, for example to renovate your home to make it more accessible or to buy a new car.

## Return

- If you are aiming for high returns, you will also have to accept a high level of risk. Is this something you are prepared to do? Or do you prefer security and wish to avoid losses as far as possible? As a general rule, the higher the prospective returns, the greater the risk of capital loss..

Depending on which of these three investment objectives is most important for you, you will usually have to accept compromises regarding at least one of the other two. The "magic triangle of investment" illustrates the tension that exists between these three competing investment objectives. It illustrates that you can always only achieve two of the three goals. If you concentrate on two goals, the third will inevitably fall by the wayside.



Source: *Bafin*

A suitable financial product must match your investment goals, your risk appetite and your financial circumstances, but above all your ability to absorb losses. Other important factors are your knowledge, experience and sustainability preferences. Consider whether environmental and social aspects are important for your investment decisions and whether you want to invest in companies with sustainable management.

## Avoid putting all your eggs in one basket

Wherever possible, avoid investing your capital in just one asset. Spread your resources across different forms of investment instead. This reduces the risk of loss and means you can expect your returns to be more stable. Diversifying your investments in a balanced way improves the likelihood that losses from one investment will be offset by gains from others. This also minimises the risk of you losing your entire capital if an investment product fails.

Your portfolio should contain as varied a range of investments as possible, spanning different asset classes with various maturities and – depending on your risk appetite – diversified risks. You should discuss this with your investment advisor. They must recommend suitable products and ensure that you understand how the products work and the risks they entail.

## Find the right investment

There are many types of financial products with investment objectives that vary significantly. Although you need a current account to manage your regular income and expenses, it is not a financial product that is suited to saving or investing money. Money that you do not need immediately should be spread across different types of investment that are suitable for you.

Conventional investment products

Conventional investment products include, for example, call deposit accounts and passbooks. The interest rates of these products determine how much income your deposits will generate. These forms of investment are also suitable as an emergency reserve because you will be able to access your money quickly if you need it. You will be able to obtain a higher interest rate if you can invest some of your money over a longer period of time, e.g. in a product such as a time deposit account or a savings bond.

## Securities



If you in

vest in securities such as shares and bonds, you generally run a higher risk of losing capital, but the potential returns may be higher. Depending on the type, class and issuer of securities, the level of risk can vary significantly. With regard to shares, history indicates that the longer the investment period, the greater the chances of stable returns.

Shares in investment funds and index funds such as exchange traded funds (ETFs) are also considered securities. If you opt for a fund, an asset management company will invest your money in various assets in accordance with the principle of diversification, e.g. in a selection of securities. This means that the risks will be spread out to some extent.

Certain securities are considered highly speculative, for example warrants and many types of certificates. The risk of loss can be difficult to quantify with such financial instruments and they may even result in a total loss of capital. Only persons with in-depth expertise and extensive experience should invest in such products.

Securities are suitable for long-term investment. Their price can rise or fall quickly. Anyone who invests in securities should take price fluctuations into account and be capable of withstanding them. Prices are affected by companies' business policies and by external factors. If the value of a security falls below purchase price, selling will mean that you lose money.

Securities vary hugely in terms of how they function, the opportunities they offer and the risks they entail. Make sure you are fully informed before making any decision. If you are interested in a particular product, you should request information from your investment advisor, the issuer or the provider.

## Real estate



Tangible assets such as real estate can also be suitable investments. If you wish to purchase real estate, you should first obtain sufficient information about what condition it is in. You should also factor in ancillary costs relating to the purchase as well as renovation, maintenance and upkeep costs – especially in the case of older properties.

# How do I select suitable financial products?

When trying to decide which financial products would be a suitable investment for you, there are certain questions that you should consider.

## What objectives do you have for your investment?



- Building up liquidity
- Asset accumulation
- Acquisition of a property
- Pension and retirement planning
- Financing your children's education
- Other major investments (e.g. a new kitchen)
- SpeculationWie wollen Sie Geld anlegen?

## How do you want to invest your money?



- If it will be a one-off amount, how much?
- If you will make regular payments, how much?

## How long do you want to invest your money for?



- I am not prepared to incur losses.
- I am prepared to risk losing some of the amount invested for the possibility of higher returns.
- I am prepared to risk losing all the amount invested for the possibility of higher returns.

## How willing are you to take risks?



- I am not prepared to incur losses.

- I am prepared to risk losing some of the amount invested for the possibility of higher returns.
- I am prepared to risk losing all the amount invested for the possibility of higher returns.

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How quickly do you want to be able to access your money? ■

- Available at any time
- Can be liquidated at any time (take notice periods into account!)
- Available by a particular date
- Other requirements for availability

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What knowledge and experience do you have? ■

- Which financial products are you familiar with?
- What financial instruments and services do you have experience of?
- Over what timeframe did you gather this experience?
- How many investment transactions have you executed in the past few years?
- How much did you invest?

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## Remember

You should never buy any financial products

■ that you do not understand,

■ that are not in line with your investment objectives, or

■ that you cannot afford.

## Your investment consultation

Go through the list and make a note of everything important. These notes will help you to prepare for the meeting with your investment advisor. Take the notes with you to the appointment. The advisor will ask you these or similar questions and may ask for further details. You can also mention other investment goals or important requirements during the discussion.

Suitability reports can help you decide whether a securities product is suitable for you. Investment advisors are required to provide you with a document containing such a report before any agreement is concluded. This is to ensure that you can understand the rationale for your advisor's securities recommendations.

Bafin's article on investment advice describes the structure of a typical consultation with an investment advisor, what information they must provide to you and the applicable record-keeping requirements.

If you would like advice on whether an insurance product is suitable for you, you can arrange a consultation with an insurance broker, insurance agent or independent insurance advisor.

# Check and compare the costs and commissions of an investment

Investments often entail costs that reduce returns. These may include initial commissions, sales charges (front-end loads), annual management fees and administrative costs.

Whether there are costs and how high these are depends not only on the financial product and its original provider, but also on the service provider that brokers the financial product and may receive a sales commission for doing so. To decide whether an investment in a particular financial product is worthwhile, you should know the costs and how they affect the return.

Investment services providers must disclose all costs and ancillary costs to their clients before a transaction is concluded. In some cases, insurance compa-

nies also have to provide a product information document before the contract is concluded, which includes a list of the costs.

These costs are critical for your investment decision. You can use the information to compare the recommended product with other products. Take the time to read the information documents that your advisor gives you thoroughly, especially the product information sheets and any separate information on the costs.

Before investing, you should make sure that your advisor, intermediary, issuer or provider explains all of the costs relating to the investment to you and ideally have them go through all of these costs and add them up together with you.

### Helpful questions when estimating costs

When receiving advice, the following sample questions may help you to better estimate the costs relating to the investment and their effects on your returns from a given financial product:

- Which costs or fees are one-off and which are paid annually? How much do the costs amount to in total?
- When purchasing the product, are there any costs, commissions or fees for the services of the advisor or intermediary? How high are these costs?
- How high are the total costs?
- What impact will the total costs have on your returns?

## Gather information about financial products and providers

Before you make a particular investment, you should not only understand the financial product itself but also gather information about the issuer or provider. There are various ways to obtain this information.

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### Information from Bafin

Information on whether a particular company has obtained authorisation from Bafin can be found in Bafin's database of companies. If Bafin finds that financial business is being conducted without authorisation, it has

extensive powers to ensure that the relevant companies promptly cease and wind up the business operations concerned. You can view Bafin's orders to cease and wind up business in our article on unauthorised business. Please note, however, that due to the large number of fraudulent providers and their ever-changing methods, the warnings on the Bafin website can never serve as an exhaustive listing.

Please be aware that even if a company has been authorised by Bafin, this does not change the fact that you could lose your money when doing business with said company.

Bafin provides information on how the most important banking products, insurance products, securities and other forms of investment work and outlines the risks they entail. Bafin makes this information available in order to provide initial guidance to consumers and make it easier to compare offers. However, it does not recommend any particular product or provider.

## Bafin's consumer helpline

Consumers can also call Bafin's consumer helpline from Monday to Friday between 8.00 a.m. and 6.00 p.m. for information. Telephone: 0800 2100 500 or +49 228 299 70 299 (for calls from abroad).

## Gathering information from consumer organisations

The Federation of German Consumer Organisations ( *Verbraucherzentrale Bundesverband e.V.)* as well as local consumer organisations ( *Verbraucherzentralen*) provide information on investment topics.

## Gathering information from issuers or providers

Important information about the issuer, the product offered and the risks can be found in the relevant securities prospectus or securities information sheet or in the relevant capital investment prospectus and capital investment information sheet. Issuers, providers or applicants for the authorisation of securities and the offerors of capital investment products are required to publish these documents.

Our databases provide overviews of the documents filed with Bafin.

## Beware of fraudulent offers

### Caution

Do you have any doubts about a financial product, its issuer or the provider? Do you still have doubts even after receiving investment advice? If so, under no circumstances should you make the investment!

It is not always easy to recognise dubious offers. Read how to recognise untrustworthy providers and the warning signs to look out for.

Please note that while Bafin approves prospectuses and authorises the publication of information sheets for securities and capital investment products, we do not check whether the information contained in these documents is correct. Bafin cannot assess the creditworthiness or reliability of the issuer, nor whether its business model is viable or economically sound.

Bafin only checks whether prospectuses are complete, are worded in a comprehensible manner and are internally consistent. In the case of information sheets for securities and capital investments, we check whether all the minimum information required by law has been provided in full and in the required order. What this means for you is that authorisation from Bafin does not guarantee that investing in the products is advisable or that the provider is trustworthy.

Furthermore, not all companies operating on the financial market are supervised by Bafin. Some offerors do not require any authorisation and are only obliged to fulfil a few legal requirements. These offerors operate on the grey capital market, which is only lightly regulated. You should always keep this in mind.

Never let a provider rush you or pressure you into a decision. Take as much time

as you need to think about the offer and get advice from someone you trust before investing your money.

## Review your portfolio regularly

If you have investments, you should review your portfolio regularly. Your plans and objectives or your financial or personal situation may have changed significantly. This might mean that your investments no longer suit you or your needs. In such cases, you might want to reconsider your investments. Reconsidering your investments is also advisable if either the market or individual financial products have not performed the way you expected.

But please be aware that terminating an investment (prematurely) and switching to another product can also have drawbacks. Sometimes older contracts have better conditions than new ones. Moreover, reallocating capital may result in high costs that you would additionally need to recoup from your new investment.